

FOUR IMPORTANT PEOPLE IN THE FIELD OF ECONOMICS

Adam Smith

Adam Smith was a Scottish moral philosopher and a pioneer of political economy. One of the key figures of the Scottish Enlightenment, Smith is the author of *The Theory of Moral Sentiments* and *An Inquiry into the Nature and Causes of the Wealth of Nations*. The latter, usually abbreviated as *The Wealth of Nations*, is considered his magnum opus and the first modern work of economics. Adam Smith is widely cited as the father of modern economics.

Smith studied moral philosophy at the University of Glasgow and Oxford University. After graduating he delivered a successful series of public lectures at Edinburgh, leading him to collaborate with David Hume during the Scottish Enlightenment. Smith obtained a professorship at Glasgow teaching moral philosophy, and during this time wrote and published *The Theory of Moral Sentiments*. In his later life he took a tutoring position which allowed him to travel throughout Europe where he met other intellectual leaders of his day. Smith returned home and spent the next ten years writing *The Wealth of Nations* (mainly from his lecture notes) which was published in 1776. He died in 1790.

The Wealth of Nations

Adam Smith argues that it was market forces that ensured the production of the right goods and services. This would happen because producers would want to make profits by providing them. Without government intervention, thus forming a laissez-faire environment, public well-being would increase from competition organising production to suit the public.

This was the basis of the free market economy. Competition would mean producers trying to outsell each other and this would bring prices down to their lowest possible levels (making minimal profit). If there was not enough competition, this would mean that producers would make more profit. This would soon attract more firms to join this industry, bringing prices down. All this would end up benefiting the consumer without any necessary intervention.

This system had 2 requirements, however. One was that the market needed to be free of government intervention, and the other was that there had to be competition. Smith recognised immediately the danger of monopoly:

"A monopoly granted either to an individual or to a trading company has the same effect as a secret in trade or manufactures. The monopolists, by keeping the market constantly under-stocked, by never fully supplying the effectual demand, sell their commodities much above the natural price, and raise their emoluments, whether they consist in wages or profit, greatly above their natural rate."

Reference: <http://www.bized.co.uk/virtual/economy/library/economists/smithth.htm>

The Wealth of Nations expounds that the free market, while appearing chaotic and unrestrained, is actually guided to produce the right amount and variety of goods by a so-called "invisible hand". Smith opposed any form of economic concentration because it distorts the market's natural ability to establish a price that provides a fair return on land, labor, and capital. He advanced the idea that a market economy would produce a satisfactory outcome for both buyers and sellers, and would optimally allocate society's resources. The image of the invisible hand was previously employed by Smith in *Theory of Moral Sentiments*, but it has its original use in his essay, "The History of Astronomy". Smith believed that when an individual pursues his self-interest, he indirectly promotes the good of society: "by pursuing his own interest, [the individual] frequently promotes that of the society more effectually than

FOUR IMPORTANT PEOPLE IN THE FIELD OF ECONOMICS

when he intends to promote it."Self-interested competition in the free market, he argued, would tend to benefit society as a whole by keeping prices low, while still building in an incentive for a wide variety of goods and services. Nevertheless, he was wary of businessmen and argued against the formation of monopolies.

An often-quoted passage from *The Wealth of Nations* is:

It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from their regard to their own self-interest. We address ourselves, not to their humanity but to their self-love, and never talk to them of our own necessities but of their advantages.

The first page of the *Wealth of Nations*, 1776 London editionValue theory was important in classical theory. Smith wrote that the "real price of every thing ... is the toil and trouble of acquiring it" as influenced by its scarcity. Smith maintained that, with rent and profit, other costs besides wages also enter the price of a commodity. Other classical economists presented variations on Smith, termed the 'labour theory of value'. Classical economics focused on the tendency of markets to move to long-run equilibrium.

Adam Smith's advocacy of self-interest based economic exchange did not, however, preclude for him issues of fairness and justice. In Asia, Europeans "by different arts of oppression..have reduced the population of several of the Moluccas,"he wrote, while "the savage injustice of the Europeans" arriving in America, "rendered an event, which ought to have been beneficial to all, ruinous and destructive to several of those unfortunate countries."The Native Americans, "far from having ever injured the people of Europe, had received the first adventurers with every mark of kindness and hospitality." However, "superiority of force" was "so great on the side of the Europeans, that they were enabled to commit with impunity every sort of injustice in those remote countries."

Smith also believed that a division of labour would effect a great increase in production. One example he used was the making of pins. One worker could probably make only twenty pins per day. However, if ten people divided up the eighteen steps required to make a pin, they could make a combined amount of 48,000 pins in one day. However, Smith's views on division of labour are not unambiguously positive, and are typically mis-characterized. Smith says of the division of labour:

"In the progress of the division of labour, the employment of the far greater part of those who live by labour, that is, of the great body of the people, comes to be confined to a few very simple operations, frequently only one or two. ...The man whose whole life is spent in performing a few simple operations, of which the effects too are, perhaps, always the same, or very nearly the same, has no occasion to exert his understanding, or to exercise his invention in finding out expedients for removing difficulties which never occur. He naturally loses, therefore, the habit of such exertion, and generally becomes as stupid and ignorant as it is possible for a human creature to become. ...His dexterity at his own particular trade seems, in this manner, to be acquired at the expense of his intellectual, social, and martial virtues. ...this is the state into which the labouring poor, that is, the great body of the people, must necessarily fall, unless government takes some pains to prevent it."

On labor relations, Smith noted "severity" of laws against worker actions, and contrasted the masters' "clamour" against workers associations, with associations and collusions of the masters which "are never heard by the people" though such actions are "always" and "everywhere" taking place:

"We rarely hear, it has been said, of the combinations of masters, though frequently of those of workmen. But whoever imagines, upon this account, that masters rarely combine, is as ignorant of the world as of the subject. Masters are always and everywhere in a sort of tacit, but constant and uniform, combination, not to raise the wages

FOUR IMPORTANT PEOPLE IN THE FIELD OF ECONOMICS

of labour above their actual rate...Masters, too, sometimes enter into particular combinations to sink the wages of labour even below this rate. These are always conducted with the utmost silence and secrecy till the moment of execution; and when the workmen yield, as they sometimes do without resistance, though severely felt by them, they are never heard of by other people." In contrast, when workers combine, "the masters..never cease to call aloud for the assistance of the civil magistrate, and the rigorous execution of those laws which have been enacted with so much severity against the combination of servants, labourers, and journeymen."

Reference: http://en.wikipedia.org/wiki/Adam_Smith

David Ricardo

David Ricardo was an English political economist, often credited with systematizing economics, and was one of the most influential of the classical economists, along with Thomas Malthus and Adam Smith. He is known for the so-called Iron Law of Wages, that wages naturally tend to a subsistence level. He was also a member of Parliament, businessman, financier and speculator, who amassed a considerable personal fortune. Perhaps his most important contribution was the theory of comparative advantage, a fundamental argument in favor of free trade among countries and of specialization among individuals. Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (e.g. resource-rich country, highly-skilled artisan) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage.

In 1815, Ricardo published his groundbreaking Essay on..Profits. There he introduced the differential theory of rent and the "law of diminishing returns" to land cultivation. Coincidentally, this principle was discovered simultaneously and independently by Malthus, Robert Torrens and Edward West. (more astoundingly, all of them published their tracts within three weeks in February, 1815!) In his 1815 Essay, Ricardo formulated his theory of distribution in a one-commodity ("corn") economy. With wages at their "natural" level, Ricardo argued that rate of profit and rents were determined residually in the agricultural sector. He then used the concept of arbitrage to claim that the agricultural profit and wage rates would be equal to the counterparts in industrial sectors. With this theory, he could show that a rise in wages did not lead to higher prices, but merely lowered profits.

For Ricardo, the appropriate theory was the "labor-embodied" theory of value or LTV, i.e. the argument that the relative "natural" prices of commodities are determined by the relative hours of labor expended in their production. Indeed, he began his 1817 book by criticizing Adam Smith's alternatives -- the "labor-commanded" and "adding up" theories of value -- because, he argued, that made value a function of wages and thus income distribution. For Ricardo, this was untenable. In his vision, value was independent of distribution, and thus only the "labor-embodied" theory made sense.

However, Ricardo realized that when the question of capital comes in, a problem arose: specifically, as different industries apply different amounts of capital per laborer, then the rate of profit will also differ across industries. Ricardo understood that if he then assumed that the rates of profit across different industries were equalized (as free competition would imply), then, mathematically, relative prices would now vary with wages -- exactly what he had criticized Smith for! Ricardo realized that the labor theory of value would only work if the degree of capital-intensity was the same across all sectors, casting doubt on the generality of his cherished theory.

Ricardo proposed two ways out of this dilemma. The first was the empirical argument that firms apply capital in a roughly proportional manner to the amount of labor invested. In this case, the resulting prices when profits are

FOUR IMPORTANT PEOPLE IN THE FIELD OF ECONOMICS

equalized would not differ much from the values implied by the LTV. This is what Stigler (1958) has called Ricardo's "93% labor theory of value". The second solution was to find a commodity which has the average capital per worker, so that its price would reflect labor-embodied value and thus not vary with changes in distribution. He called this the "invariable standard of value". If one can find what this "standard" commodity is, Ricardo argued, then the rest of the analysis is simple. One can, say, change technology, trace the change in value of the standard commodity, and then extrapolate the change in value for all other commodities by the degree to which their capital composition deviates from this standard. Despite his search, Ricardo never found this standard commodity. On his death, an incomplete paper entitled "The Invariable Standard of Value" was found on his desk. Eventually, Karl Marx (1867) proposed one way out of it, but the proper solution would have to wait until Piero Sraffa (1960).

On foreign trade, Ricardo set forth his famous theory of comparative advantage. Using his famous example of two nations (Portugal and England) and two commodities (wine and cloth), Ricardo argued that trade would be beneficial even if Portugal held an absolute cost advantage over England in both commodities. Ricardo's argument was that there are gains from trade if each nation specializes completely in the production of the good in which it has a "comparative" cost advantage in producing, and then trades with the other nation for the other good. Notice that the differences in initial position mean that the labor theory of value is not assumed to hold across countries -- as it should be, Ricardo argued, because factors, particularly labor, are not mobile across borders. As far as growth is concerned, foreign trade may promote further accumulation and growth if wage goods (not luxuries) are imported at a lower price than they cost domestically -- thereby leading to a lowering of the real wage and a rise in profits. But the main effect, Ricardo noted, is that overall income levels would rise in both nations regardless.

John Maynard Keynes

John Maynard Keynes was a British economist whose ideas have been a central influence on modern macroeconomics, both in theory and practice. He advocated interventionist government policy, by which governments would use fiscal and monetary measures to mitigate the adverse effects of business cycles, economic recessions, and depressions. His ideas are the basis for the school of thought known as Keynesian economics, and its various offshoots.

In the 1930s, Keynes spearheaded a revolution in economic thinking, overturning the older ideas of neoclassical economics that held that free markets would automatically provide full employment as long as workers were flexible in their wage demands. Following the outbreak of World War II Keynes's ideas concerning economic policy were adopted by leading Western economies. During the 1950s and 1960s, the success of Keynesian economics was so resounding that almost all capitalist governments adopted its policy recommendations.

Keynesian economics (also called Keynesianism and Keynesian Theory) is a macroeconomic theory based on the ideas of 20th-century British economist John Maynard Keynes. Keynesian economics argues that private sector decisions sometimes lead to inefficient macroeconomic outcomes and therefore advocates active policy responses by the public sector, including monetary policy actions by the central bank and fiscal policy actions by the government to stabilize output over the business cycle. The theories forming the basis of Keynesian economics were first presented in *The General Theory of Employment, Interest and Money*, published in 1936; the interpretations of Keynes are contentious, and several schools of thought claim his legacy.

Keynesian economics advocates a mixed economy—predominantly private sector, but with a large role of government and public sector—and served as the economic model during the latter part of the Great Depression, World War II, and the post-war Golden Age of Capitalism, 1945–1973, though it lost some influence following the

FOUR IMPORTANT PEOPLE IN THE FIELD OF ECONOMICS

stagflation of the 1970s. As a middle way between laissez-faire capitalism and socialism, it has been and continues to be attacked from both the right and the left. The advent of the global financial crisis in 2007 has caused a resurgence in Keynesian thought. Keynesian economics has provided the theoretical underpinning for the plans of President Barack Obama, Prime Minister Gordon Brown and other global leaders to, allegedly, rescue the world economy.

In Keynes's theory, there are some micro-level actions of individuals and firms that can lead to aggregate macroeconomic outcomes in which the economy operates below its potential output and growth. Some classical economists had believed in Say's Law, that supply creates its own demand, so that a "general glut" would therefore be impossible. Keynes contended that aggregate demand for goods might be insufficient during economic downturns, leading to unnecessarily high unemployment and losses of potential output. Keynes argued that government policies could be used to increase aggregate demand, thus increasing economic activity and reducing unemployment and deflation.

Keynes argued that the solution to depression was to stimulate the economy ("inducement to invest") through some combination of two approaches: a reduction in interest rates and government investment in infrastructure. Investment by government injects income, which results in more spending in the general economy, which in turn stimulates more production and investment involving still more income and spending and so forth. The initial stimulation starts a cascade of events, whose total increase in economic activity is a multiple of the original investment.

A central conclusion of Keynesian economics is that, in some situations, no strong automatic mechanism moves output and employment towards full employment levels. This conclusion conflicts with economic approaches that assume a general tendency towards an equilibrium. In the 'neoclassical synthesis', which combines Keynesian macro concepts with a micro foundation, the conditions of general equilibrium allow for price adjustment to achieve this goal.

Excessive saving

To Keynes, excessive saving, i.e. saving beyond planned investment, was a serious problem, encouraging recession or even depression. Excessive saving results if investment falls, perhaps due to falling consumer demand, over-investment in earlier years, or pessimistic business expectations, and if saving does not immediately fall in step, the economy would decline.

Thomas Robert Malthus

Thomas Robert Malthus was a British economist and demographer, whose famous Theory of Population highlighted the potential dangers of overpopulation. In his famous *An Essay on the Principles of Population*, Malthus stated that while 'the populations of the world would increase in geometric proportions the food resources available for them would increase only in arithmetic proportions'. In simple words, if human population was allowed to increase in an uncontrolled way, then the number of people would increase at a faster rate than the food supply. A point would come when human population would reach the limit up to which food sources could support it. Any further increase would lead to population crash caused by natural phenomena like famine or disease.

FOUR IMPORTANT PEOPLE IN THE FIELD OF ECONOMICS

The Theory

Malthus put forth his ideas in six editions of his famous treatise 'An Essay on the Principle of Population'. His thinking took shape under the influence of the optimistic ideas of his father and his friends mainly Rousseau, about future improvement of the society. In the first edition of his treatise, Malthus put forth his views that opposed the belief of scholars like Marquis de Condorcet and William Godwin who were optimistic about population growth in England. During the Industrial Revolution, England experienced a steep increase in its population. In his book *The Enquirer*, William Godwin promoted population growth as a means for human beings to attain equality. According to him, an increased population would create more wealth that would provide food for the whole humanity. Scholars of such school of thought believed that, both man and society could be made perfect. In contrast to this viewpoint, Malthus interpreted overpopulation as an evil that would reduce the amount of food available per person.

Malthus' theory was based on the assumption that the power of population is much greater than the power of the earth to provide subsistence for man. In his own words 'passion between the sexes is an inevitable phenomenon' hence, when unchecked, population would grow at such a high rate that it would outstrip food supply. According to Malthus, disease, food shortage and death due to starvation, were nature's way to control population. He proposed that human beings adopt measures like infanticide, abortion, delay in marriage and strict following of celibacy to check population growth.

According to him, human society could never be perfected. He believed that man is a lazy animal, who would lead a satisfied life and procreate as long as his family was well fed. However, as soon as human population would feel constraints in food supply due to increase in population, he would again work hard to provide enough for his family. This might lead to an increase in agricultural production to provide for all, but at the same time man would be back to his complacent stage, where all his needs would be fulfilled. This would start the cycle of overpopulation and food shortage, all over again. Having been a clergy, Malthus validated his theory on moral grounds that suffering was a way of making human beings realize the virtues of hard work and moral behavior. Such kind of suffering due to overpopulation and food supply was inevitable.

Impact

Malthus' theory had great influence on both Charles Darwin and Alfred Wallace, who are the co-founders of the modern evolutionary theory. In his own words Darwin acknowledged, that he was already aware of the 'struggle for existence' among different species of plants and animals. However, it was only after he read Malthus' work were he realized that animals in their struggle to survive, retained the favorable features that would help them adjust to the environment, and lost those that were of no use to them. Thus, the Theory of Natural Selection was born.

By the end of the 19th Century, when living standards improved and birth rates dropped in the Western countries, concerns of overpopulation became irrelevant. However, in underdeveloped countries which have agrarian economies, Malthus' theory often finds credibility.

Criticism

Some critics of Malthus, like Karl Marx, argued that Malthus failed to recognize the potential of human population to increase food supply. Malthus is accused by many to have failed to comprehend man's ability to use science and technology to increase food supply to meet the needs of an increasing population.

FOUR IMPORTANT PEOPLE IN THE FIELD OF ECONOMICS

Thinkers from the field of social sciences have criticized Malthus for his belief that the human society could never be made perfect. Malthus opposed all political, social and economic reforms that did not aim at controlling birth rate. His own methods of checking population growth were criticized as being impractical. Malthus was opposed to the Poor Laws popular in England, which provided relief to the people who qualified as poor under the laws. According to him, such charity would provide only short-term relief to them and let the poor remain in their state of financial distress. This thought of Malthus, was viewed as misanthropic.

From his writings some have interpreted Malthus as a rigid and pessimistic individual. However, he is also viewed by some as a pragmatic thinker, who put a check on the unbridled enthusiasm of some who viewed increase in population as a means of progress.

Reference: <http://www.buzzle.com/articles/thomas-malthus-theory-of-population.html>

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